

THE POWER OF STILLNESS: DOING NOTHING TO CREATE WEALTH



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In the world of investing, the phrase **bias for action** implies a tendency to act and change your position frequently in the belief that it would improve your chances of success. This is in contrast to inaction, which is an option, and may possibly be the right choice. Human beings often mistake activity for productivity, something which is visible in the tendency to switch lanes

in a traffic jam – or trying to honk your way through it.

Taking action in complex situations make us feel better irrespective of the outcome. In case of a positive outcome, action bias helps us attribute success to our actions. In case of a negative outcome, we feel that at least we tried! In either case, the story can be spun

in our favour. We live in a world where narrative is more important than the truth. A study from the sporting world makes it amply clear.

An interesting study by Bar-Eli et al. (2007) of 286 football penalty kicks in top events showed the downside of action bias. This study showed that the distribution of kick's direction was fairly split between left, right and center. The penalty takers kick went 32% of the times to the left, 38% to the right, and 29% in the center. At the highest levels, one would expect the goalkeepers' dive directions to be similarly distributed. Surprisingly, goalkeepers' dive direction is highly skewed towards left and right, while staying in the center only 6% of the time. What could explain this discrepancy? A possible reason is action bias. Justifying a failed dive towards left or right is easier than conceding a goal after staying centered. In fact, the study suggests that staying in the center more often could lead to better outcomes for the goalkeepers. This example demonstrates the power of stillness as a strategic approach.

Heavy skew in dive directions, while kick's direction split is equal

Split of 286 penalty kicks and dives

	Left	Center	Right
Kick	92 (32%)	82 (29%)	112 (39%)
Dive	141 (49%)	18 (6%)	127 (45%)

Source: Action Bias among Elite Soccer Goalkeepers: The Case of Penalty Kicks, Michael Bar-Eli and Ilana Ritov (2007)

In investing, the power of stillness translates to allowing investments the time to mature, instead of tinkering with them. This approach has historically yielded better returns in the long run. While action is often celebrated, stillness can sometimes be a very potent strategy. As decision-makers, we must remember that taking no action is also